

# CFA & FRM Topic-Wise Syllabus

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CFA Program Levels I, II & III · FRM Parts I & II  
Topic areas, exam weights and learning modules

CFA Program — 2027 curriculum (Level II shown for 2026)

FRM — 2026 curriculum

Compiled 29 July 2026

Sourced from CFA Institute and GARP published outlines

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## 1. How to use this document

This is a consolidated reference covering every level of both programmes in one place: the official topic areas, the published exam weights, and the learning modules / readings that sit under each topic.

It is a *map*, not the curriculum itself. The full learning outcome statements (LOS) — the several hundred "the candidate should be able to..." bullets per level — sit in the official documents linked below. For the CFA Program those PDFs are free and public; for the FRM the equivalent document is behind a short email form on GARP's site.

### Official downloads — CFA Institute (free, no login)

- 2027 Level I Topic Outlines — [cfainstitute.org/sites/default/files/2027levelitopicoutline\\_online.pdf](https://cfainstitute.org/sites/default/files/2027levelitopicoutline_online.pdf)
- 2026 Level II Topic Outlines — [cfainstitute.org/sites/default/files/docs/programs/cfa-program/2026-12-topics-combined.pdf](https://cfainstitute.org/sites/default/files/docs/programs/cfa-program/2026-12-topics-combined.pdf)
- 2027 Level III, Portfolio Management pathway — [.../2027leveliii-portfolio-management-pathwaytopicoutline\\_online.pdf](https://cfainstitute.org/sites/default/files/2027leveliii-portfolio-management-pathwaytopicoutline_online.pdf)
- 2027 Level III, Private Markets pathway — [.../2027leveliii-private-markets-pathwaytopicoutline\\_online.pdf](https://cfainstitute.org/sites/default/files/2027leveliii-private-markets-pathwaytopicoutline_online.pdf)
- 2027 Level III, Private Wealth pathway — [.../2027leveliii-private-wealth-pathwaytopicoutline\\_online.pdf](https://cfainstitute.org/sites/default/files/2027leveliii-private-wealth-pathwaytopicoutline_online.pdf)

### Official downloads — GARP (email form required)

- 2026 FRM Learning Objectives — [garp.org/landing/frm-learning-objectives](https://garp.org/landing/frm-learning-objectives) — syllabus, weights, readings and LOS per reading. Last updated 1 Dec 2025.
- 2026 FRM Study Guide — [garp.org/landing/frm-study-guide](https://garp.org/landing/frm-study-guide) — primary topics and required readings.
- 2026 FRM Candidate Guide — [garp.org/landing/frm-candidate-guide](https://garp.org/landing/frm-candidate-guide)
- FRM Part II required & optional online readings — [garp.org/frm/readings/required](https://garp.org/frm/readings/required)

**A note on years.** CFA Institute has published 2027 outlines for Levels I and III; the newest published Level II outline is 2026, so that is what appears here. GARP's current cycle is 2026 and is revised each December. Always re-check weights against the official document for your exam window before building a study plan.

## 2. CFA Program — structure at a glance

|                            | Level I                            | Level II              | Level III                             |
|----------------------------|------------------------------------|-----------------------|---------------------------------------|
| <b>Cognitive level</b>     | Learn & describe                   | Analyse & evaluate    | Integrate & apply                     |
| <b>Format</b>              | 180 standalone MCQs                | 22 item sets, 88 MCQs | 11 item sets + 11 essay sets          |
| <b>Sessions</b>            | 2 × 135 min                        | 2 × 132 min           | 2 × 132 min                           |
| <b>Total time</b>          | 4h 30m                             | 4h 24m                | 4h 24m                                |
| <b>Scored / trialled</b>   | All equally weighted               | 20 scored, 2 trialled | 20 scored, 2 trialled; 12 pts per set |
| <b>Topic count</b>         | 10                                 | 10                    | 5 core + 1 pathway                    |
| <b>Choice</b>              | —                                  | —                     | One of three pathways                 |
| <b>Study time reported</b> | 300+ hours per level on average    |                       |                                       |
| <b>Results</b>             | Typically 5–7 weeks after the exam |                       |                                       |

**Practical Skills Modules (PSM).** One PSM must be completed at each level before a result is released. The same module cannot be reused across levels — e.g. Python Programming Fundamentals at Level I means a different module (Python, Data Science & AI, or Analyst Skills) at Level II. Level III pathway-specific PSMs also exist, such as Private Markets Pathway – Due Diligence.

### Exam mechanics worth knowing

- **No penalty for guessing** at any level — answer everything.
- **Level I question style:** no "except", "true" or "false"; "not" avoided where possible. Qualifiers such as *most likely*, *least appropriate*, *best described* are used instead. No "all of the above" / "none of the above" answer options.
- **Levels II & III:** topics are randomly placed across both sessions; each vignette opens with a topic label and point value.
- **Level III essays:** command words appear in bold. A correct numerical answer alone earns full credit; showing steps can earn partial credit. If asked for two reasons, only the first two given are marked.
- **FSA questions** are based on IFRS unless US GAAP is explicitly stated.
- **Calculators:** TI BA II Plus or HP 12C only.

### 3. CFA Level I — 2027 curriculum

| Session | Topic                              | Exam weight |
|---------|------------------------------------|-------------|
| 1       | Ethical and Professional Standards | 15–20%      |
| 1       | Quantitative Methods               | 6–9%        |
| 1       | Economics                          | 6–9%        |
| 1       | Financial Statement Analysis       | 11–14%      |
| 1       | Corporate Issuers                  | 6–9%        |
| 2       | Equity Investments                 | 11–14%      |
| 2       | Fixed Income                       | 11–14%      |
| 2       | Derivatives                        | 5–8%        |
| 2       | Alternative Investments            | 7–10%       |
| 2       | Portfolio Management               | 8–12%       |

Session 1 and Session 2 topics are fixed at Level I — unlike Levels II and III, you know which topics appear in which session.

#### Learning modules by topic

##### Quantitative Methods **6–9%**

- Returns of Financial Assets and Instruments
- Types of Financial Returns
- Benchmarking Returns
- The Time Value of Money in Finance
- Statistical Characteristics of Asset Returns
- Statistical Distributions for Financial Asset Prices and Returns
- Estimation and Hypothesis Testing
- The Return and Risk of a Financial Portfolio
- Simulation of Financial Asset Prices and Returns
- Applications of Simple Linear Regression in Finance
- Introduction to Financial Data Science

2027 change: this topic was reorganised toward applied financial analysis rather than abstract statistical theory.

##### Economics **6–9%**

- The Firm and Market Structures
- Understanding Business Cycles
- Fiscal Policy
- Monetary Policy
- Introduction to Geopolitics
- International Trade
- Capital Flows and the FX Market
- Exchange Rate Calculations

## **Corporate Issuers** 6–9%

- Organizational Forms, Corporate Issuer Features, and Ownership
- Investors and Other Stakeholders
- Corporate Governance: Conflicts, Mechanisms, Risks, and Benefits
- Working Capital and Liquidity
- Capital Investments and Capital Allocation
- Capital Structure
- Business Models

## **Financial Statement Analysis** 11–14%

- Introduction to Financial Statement Analysis
- Analyzing Income Statements
- Analyzing Balance Sheets
- Analyzing Statements of Cash Flows I
- Analyzing Statements of Cash Flows II
- Analysis of Inventories
- Analysis of Long-Term Assets
- Topics in Long-Term Liabilities and Equity
- Analysis of Income Taxes
- Financial Reporting Quality
- Financial Analysis Techniques
- Introduction to Financial Statement Modeling

## **Equity Investments** 11–14%

- Equity Instrument Features
- Equity Jurisdictions, Classes, and the Voting Process
- Equity Issuance and Trading
- Sources of Equity Returns
- Introduction to Equity Valuation
- Discounted Cash Flow (DCF) and Growth Models
- Relative Value Equity Valuation Approaches
- Financial Statement Forecasting in Equity Valuation
- Industry and Competitive Analysis
- Company Analysis: Past, Present, and Future
- Equity Analyst Research Reports
- The CAPM, Market Model, and Other Factor-Based Equity Models

## Fixed Income 11–14%

- Fixed-Income Instrument Features
- Fixed-Income Cash Flows and Types
- Fixed-Income Issuance and Trading
- Fixed-Income Markets for Corporate Issuers
- Fixed-Income Markets for Government Issuers
- Fixed-Income Bond Valuation: Prices and Yields
- Yield and Yield Spread Measures for Fixed-Rate Bonds
- Yield and Yield Spread Measures for Floating-Rate Instruments
- The Term Structure of Interest Rates: Spot, Par, and Forward Curves
- Interest Rate Risk and Return
- Yield-Based Bond Duration Measures and Properties
- Yield-Based Bond Convexity and Portfolio Properties
- Curve-Based and Empirical Fixed-Income Risk Measures
- Credit Risk
- Credit Analysis for Government Issuers
- Credit Analysis for Corporate Issuers
- Fixed-Income Securitization
- Asset-Backed Security (ABS) Instrument and Market Features
- Mortgage-Backed Security (MBS) Instrument and Market Features

## Derivatives 5–8%

- Derivative Instrument and Derivative Market Features
- Forward Commitment and Contingent Claim Features and Instruments
- Derivative Benefits, Risks, and Issuer and Investor Uses
- Arbitrage, Replication, and the Cost of Carry in Pricing Derivatives
- Pricing and Valuation of Forward Contracts and for an Underlying with Varying Maturities
- Pricing and Valuation of Futures Contracts
- Pricing and Valuation of Interest Rate and Other Swaps
- Pricing and Valuation of Options
- Option Replication Using Put–Call Parity
- Valuing a Derivative Using a One-Period Binomial Model

## Alternative Investments 7–10%

- Alternative Investment Features, Methods, and Structures
- Alternative Investment Performance and Returns
- Investments in Private Capital: Equity and Debt
- Real Estate and Infrastructure
- Natural Resources
- Hedge Funds
- Introduction to Digital Assets

## Portfolio Management 8–12%

- Portfolio Risk and Return: Part I
- Portfolio Risk and Return: Part II
- Portfolio Management: An Overview
- Basics of Portfolio Planning and Construction
- The Behavioral Biases of Individuals
- Introduction to Risk Management

## **Ethical and Professional Standards** 15–20%

- Ethics and Trust in the Investment Profession
- Code of Ethics and Standards of Professional Conduct
- Guidance for Standard I: Professionalism
- Guidance for Standard II: Integrity of Capital Markets
- Guidance for Standard III: Duties to Clients
- Guidance for Standard IV: Duties to Employers
- Guidance for Standard V: Investment Analysis, Recommendations, and Actions
- Guidance for Standard VI: Conflicts of Interest
- Guidance for Standard VII: Responsibilities as a CFA Institute Member or CFA Candidate
- Application of the Code and Standards: Level I

The single heaviest topic at Level I. Ethics content was refreshed across all three levels for 2027.

## 4. CFA Level II — 2026 curriculum

| Topic                              | Exam weight |
|------------------------------------|-------------|
| Ethical and Professional Standards | 10–15%      |
| Quantitative Methods               | 5–10%       |
| Economics                          | 5–10%       |
| Financial Statement Analysis       | 10–15%      |
| Corporate Issuers                  | 5–10%       |
| Equity Investments                 | 10–15%      |
| Fixed Income                       | 10–15%      |
| Derivatives                        | 5–10%       |
| Alternative Investments            | 5–10%       |
| Portfolio Management               | 10–15%      |

Note the flattening versus Level I: Ethics drops from a 15–20% band to 10–15%, and five topics share the 10–15% band. Topics are randomly distributed across both sessions.

### Learning modules by topic

#### Quantitative Methods 5–10%

- Basics of Multiple Regression and Underlying Assumptions
- Evaluating Regression Model Fit and Interpreting Model Results
- Model Misspecification
- Extensions of Multiple Regression
- Time-Series Analysis
- Machine Learning
- Big Data Projects

#### Economics 5–10%

- Currency Exchange Rates: Understanding Equilibrium Value
- Economic Growth

Only two modules, but both are dense — the currency module alone carries thirteen learning outcome statements.

#### Financial Statement Analysis 10–15%

- Intercorporate Investments
- Employee Compensation: Post-Employment and Share-Based
- Multinational Operations
- Analysis of Financial Institutions
- Evaluating Quality of Financial Reports
- Integration of Financial Statement Analysis Techniques

#### Corporate Issuers 5–10%

- Analysis of Dividends and Share Repurchases
- ESG Considerations in Investment Analysis
- Cost of Capital: Advanced Topics
- Corporate Restructuring

## Equity Valuation 10–15%

- Equity Valuation: Applications and Processes
- Discounted Dividend Valuation
- Free Cash Flow Valuation
- Market-Based Valuation: Price and Enterprise Value Multiples
- Residual Income Valuation
- Private Company Valuation

## Fixed Income 10–15%

- The Term Structure and Interest Rate Dynamics
- The Arbitrage-Free Valuation Framework
- Valuation and Analysis of Bonds with Embedded Options
- Credit Analysis Models
- Credit Default Swaps

## Derivatives 5–10%

- Pricing and Valuation of Forward Commitments
- Valuation of Contingent Claims

Two modules covering forwards, futures, swaps (interest rate, currency, equity), binomial models, Black–Scholes–Merton, the Black model, the Greeks and delta hedging.

## Alternative Investments 5–10%

- Introduction to Commodities and Commodity Derivatives
- Overview of Types of Real Estate Investment
- Investments in Real Estate through Publicly Traded Securities
- Hedge Fund Strategies

## Portfolio Management 10–15%

- Economics and Investment Markets
- Analysis of Active Portfolio Management
- Exchange-Traded Funds: Mechanics and Applications
- Using Multifactor Models
- Measuring and Managing Market Risk
- Backtesting and Simulation

## Ethical and Professional Standards 10–15%

- Code of Ethics and Standards of Professional Conduct
- Guidance for Standards I–VII
- Application of the Code and Standards: Level II

## 5. CFA Level III — 2027 core topics

| Topic                                                                                    | Exam weight   |
|------------------------------------------------------------------------------------------|---------------|
| Asset Allocation                                                                         | 15–20%        |
| Portfolio Construction                                                                   | 15–20%        |
| Performance Measurement                                                                  | 5–10%         |
| Derivatives and Risk Management                                                          | 10–15%        |
| Ethical and Professional Standards                                                       | 10–15%        |
| <b>Pathway</b> — Portfolio Management <i>or</i> Private Markets <i>or</i> Private Wealth | <b>30–35%</b> |

The pathway is the single largest block on the Level III exam — roughly a third of the marks. The choice is made at registration; check CFA Institute's current policy for the deadline to change it. All three pathways share the same five core topics.

### Core learning modules

#### Asset Allocation 15–20%

- Capital Market Expectations, Part 1: Framework and Macro Considerations
- Capital Market Expectations, Part 2: Forecasting Asset Class Returns
- Overview of Asset Allocation
- Principles of Asset Allocation
- Asset Allocation with Real-World Constraints

#### Portfolio Construction 15–20%

- Overview of Equity Portfolio Management
- Overview of Fixed-Income Portfolio Management
- Asset Allocation to Alternative Investments
- An Overview of Private Wealth Management
- Portfolio Management for Institutional Investors
- Trading Costs and Electronic Markets
- Case Study in Portfolio Management: Institutional (SWF)

#### Performance Measurement 5–10%

- Portfolio Performance Evaluation
- Investment Manager Selection
- Overview of the Global Investment Performance Standards (GIPS)

#### Derivatives and Risk Management 10–15%

- Options Strategies
- Swaps, Forwards, and Futures Strategies
- Currency Management: An Introduction

#### Ethical and Professional Standards 10–15%

- Code of Ethics and Standards of Professional Conduct
- Guidance for Standards I–VII (seven separate modules)
- Application of the Code and Standards: Level III
- Asset Manager Code of Professional Conduct

The Asset Manager Code appears only at Level III — it is a common gap for candidates who assume Ethics is a repeat of Level II.

## 6. CFA Level III — specialised pathways 30–35%

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Three options, chosen at registration. Each builds on the same five core topics.

### Portfolio Management pathway

- Index-Based Equity Strategies
- Active Equity Investing: Strategies
- Active Equity Investing: Portfolio Construction
- Liability-Driven and Index-Based Strategies
- Yield Curve Strategies
- Fixed-Income Active Management: Credit Strategies
- Trade Strategy and Execution
- Case Study in Portfolio Management: Institutional (Endowment)

Weighted toward equity and fixed-income strategy: Active Share vs active risk, risk budgeting, tracking error, LDI, yield-curve positioning, credit strategy, and execution benchmarks. The closing case study integrates asset allocation, derivatives overlays, ESG and manager selection.

### Private Markets pathway

- Private Investments and Structures
- General Partner and Investor Perspectives and the Investment Process
- Private Equity
- Private Debt
- Private Special Situations
- Private Real Estate Investments
- Infrastructure

Covers DPI / RVPI / TVPI performance metrics, management fees and carried interest, venture capital through growth equity to buyouts, leveraged loans, mezzanine and unitranche debt, distressed situations, timberland and farmland, and infrastructure project life cycles.

### Private Wealth pathway

- The Private Wealth Management Industry
- Working With the Wealthy
- Wealth Planning
- Investment Planning
- Preserving the Wealth
- Advising the Wealthy
- Transferring the Wealth

Covers adviser business and fee models, family dynamics and UHNW client characteristics, goals-based planning, tax-efficient allocation, human-capital risk, inflation and FX erosion, residency and citizenship planning, and lifetime gifts, bequests and philanthropy.

**Choosing a pathway.** The exam is not easier or harder by pathway — CFA Institute equates results across them. Choose on the basis of the work you do or want to do. Portfolio Management is the closest continuation of the traditional Level III syllabus; the other two are newer and have thinner third-party question banks.

## 7. FRM Program — structure at a glance

|                            | Part I                                                                                   | Part II                                      |
|----------------------------|------------------------------------------------------------------------------------------|----------------------------------------------|
| <b>Questions</b>           | 100 multiple choice                                                                      | 80 multiple choice                           |
| <b>Duration</b>            | 4 hours, single session                                                                  | 4 hours, single session                      |
| <b>Topic areas</b>         | 4                                                                                        | 6                                            |
| <b>Focus</b>               | Tools and foundations of risk management                                                 | Application of those tools by risk domain    |
| <b>Study materials</b>     | GARP Learning included with registration                                                 | GARP Learning USD 250; printed books USD 300 |
| <b>Practice exams</b>      | 2 free (100 Q each), optional 3rd                                                        | 2 free (80 Q each), downloadable PDFs        |
| <b>Ordering</b>            | Part I must be passed before Part II is graded; both may be attempted in the same window |                                              |
| <b>Experience</b>          | Two years of relevant professional experience required for certification                 |                                              |
| <b>Curriculum revision</b> | Annually, published around end of December by the FRM Committee                          |                                              |

**Where the detail lives.** GARP's *FRM Learning Objectives* document lists every reading and every learning objective under it. It is free but sits behind a short email form at [garp.org/landing/frm-learning-objectives](http://garp.org/landing/frm-learning-objectives). The sections below give the official topic areas, published weights and the subject coverage GARP states for each — use them to plan, then pull the LOS document for the reading-by-reading detail.

## 8. FRM Part I — 2026

| Topic area                     | Weight | Approx. questions |
|--------------------------------|--------|-------------------|
| Foundations of Risk Management | 20%    | 20                |
| Quantitative Analysis          | 20%    | 20                |
| Financial Markets and Products | 30%    | 30                |
| Valuation and Risk Models      | 30%    | 30                |

### Foundations of Risk Management 20%

- Risk types, and the tools used to measure and manage them
- Risk governance: board and audit responsibilities, risk appetite, enterprise risk management
- Credit risk transfer mechanisms
- CAPM and risk-adjusted performance measurement
- Multifactor models
- Risk data aggregation and risk reporting
- Financial disasters and case studies; lessons of the global financial crisis
- GARP Code of Conduct

Looks qualitative but the objectives ask you to evaluate, assess, compare and analyse — not recall. It carries the judgment-based questions.

## Quantitative Analysis 20%

- Probability, Bayes' rule, random variables and common distributions
- Sample moments and hypothesis testing
- Linear regression; multiple regression and regression diagnostics (heteroskedasticity, etc.)
- Stationary and non-stationary time series
- Measuring volatility and correlation
- Simulation methods and bootstrapping
- Machine learning and prediction

The toolkit section. Weakness here compounds into Valuation & Risk Models and the hedging material, so it matters more than its 20% suggests.

## Financial Markets and Products 30%

- Financial institutions and their risks; banks, insurers, pension funds, mutual and hedge funds
- Economic vs regulatory capital; insurance company ratios
- Exchange-traded and OTC market structure, central counterparties
- Forwards and futures: mechanics, margin, hedge ratios, basis risk
- Swaps: cash flows and valuation
- Options: mechanics and payoffs
- Interest rates and interest-rate products
- Foreign exchange risk
- Corporate bonds; mortgages and mortgage-backed securities
- Commodity forwards and futures

Joint-largest topic and heavily calculation-driven. Derivatives mechanics, hedging, interest-rate products and swaps are where most of the marks sit.

## Valuation and Risk Models 30%

- Value-at-Risk and Expected Shortfall; coherent risk measures
- Volatility and correlation estimation
- Economic and regulatory capital
- Stress testing and scenario analysis
- Option valuation; the binomial model and Black–Scholes–Merton
- Fixed-income valuation, duration, convexity and hedging
- Country and sovereign risk; external ratings and rating transition matrices
- Credit risk: expected loss, unexpected loss, credit VaR
- Operational risk: loss distributions, capital approaches, Monte Carlo estimation

The most representative section of the "risk manager mindset" GARP tests. VaR and ES, credit risk and capital, operational risk, and stress testing are the highest-priority sub-areas.

## 9. FRM Part II — 2026

| Topic area                                             | Weight | Approx. questions |
|--------------------------------------------------------|--------|-------------------|
| Market Risk Measurement and Management                 | 20%    | 16                |
| Credit Risk Measurement and Management                 | 20%    | 16                |
| Operational Risk and Resilience                        | 20%    | 16                |
| Liquidity and Treasury Risk Measurement and Management | 15%    | 12                |
| Risk Management and Investment Management              | 15%    | 12                |
| Current Issues in Financial Markets                    | 10%    | 8                 |

### Market Risk Measurement and Management 20%

- VaR estimation approaches and their limitations; backtesting VaR
- Expected Shortfall and other coherent measures; parametric and non-parametric estimation
- Extreme value theory and tail risk
- Volatility modelling: GARCH, EWMA, implied volatility surfaces
- Correlation and copulas
- Fixed-income and term-structure models; interest rate risk hedging
- Volatility smiles; exotic and mortgage-backed products
- Fundamental Review of the Trading Book (FRTB)

### Credit Risk Measurement and Management 20%

- Credit analysis and the credit process; ratings and rating transitions
- Structural and reduced-form default models; Merton model
- Portfolio credit risk, default correlation and credit VaR
- Counterparty risk, CVA/DVA/FVA and wrong-way risk
- Netting, collateral and margining
- Credit derivatives and credit default swaps
- Securitisation, structured credit and CDOs
- Basel credit risk capital frameworks; stress testing credit portfolios

### Operational Risk and Resilience 20%

- Operational risk taxonomy, RCSA and loss data collection
- Modelling operational risk loss distributions; capital approaches
- Risk governance, risk appetite and the three lines of defence
- Model risk management and validation
- Cyber risk and information security; third-party and outsourcing risk
- Business continuity and operational resilience
- Financial crime: money laundering, sanctions and fraud
- Basel operational risk framework; regulation and supervision
- Stress testing and enterprise risk management

## Liquidity and Treasury Risk Measurement and Management 15%

- Liquidity risk: funding vs market liquidity
- Liquidity-adjusted VaR and transaction cost measurement
- Cash flow modelling and liquidity stress testing
- Intraday, collateral and contingent liquidity management
- Deposit and wholesale funding structures; transfer pricing
- Balance sheet management; repo markets
- Interest rate risk in the banking book (IRRBB)
- LCR, NSFR and the Basel liquidity framework
- Contingency funding plans

## Risk Management and Investment Management 15%

- Factor theory and portfolio construction
- Risk budgeting and risk monitoring for investment portfolios
- Portfolio performance measurement and attribution
- Hedge fund strategies, structures and risks
- Illiquid assets and valuation of private holdings
- Risk-adjusted performance measures
- Portfolio VaR and risk decomposition

## Current Issues in Financial Markets 10%

- A rotating set of readings, replaced substantially each year
- Recent cycles have covered artificial intelligence and machine learning in finance, climate and transition risk, digital assets and stablecoins, cyber and operational resilience, and post-2023 banking-stress lessons

The one topic you cannot study from last year's materials — pull the current year's reading list from GARP directly. Part II also tests material from leading academics and practitioners via required online readings at [garp.org/frm/readings/required](https://www.garp.org/frm/readings/required); optional readings on Basel mechanics are recommended but not examinable.

**Caveat on this section.** The topic areas and weights above are GARP's published figures. The sub-topic bullets summarise the subject coverage GARP describes for each area — they are a planning map, not a substitute for the reading-level list in the official FRM Learning Objectives document, which is revised every December.

## 10. CFA vs FRM — practical comparison

|                           | CFA Program                                               | FRM                                                        |
|---------------------------|-----------------------------------------------------------|------------------------------------------------------------|
| <b>Body</b>               | CFA Institute                                             | GARP                                                       |
| <b>Levels</b>             | Three                                                     | Two parts                                                  |
| <b>Scope</b>              | Broad investment management                               | Focused financial risk management                          |
| <b>Centre of gravity</b>  | Valuation, asset allocation, portfolio management, ethics | Market, credit, operational and liquidity risk; regulation |
| <b>Ethics</b>             | Heavily examined and separately weighted at every level   | Part of Foundations; GARP Code of Conduct                  |
| <b>Quant depth</b>        | Moderate; applied                                         | Deeper — time series, volatility modelling, simulation     |
| <b>Regulation</b>         | Light (GIPS, Asset Manager Code)                          | Heavy (Basel, FRTB, LCR/NSFR, IRRBB)                       |
| <b>Essay component</b>    | Yes, at Level III                                         | None — all multiple choice                                 |
| <b>Specialisation</b>     | Level III pathway choice                                  | None; fixed syllabus                                       |
| <b>Typical study time</b> | 300+ hours per level                                      | 200–300 hours per part                                     |
| <b>Experience needed</b>  | Relevant work experience for the charter                  | Two years relevant experience                              |

### Where the two overlap

Material you will meet in both programmes — worth sequencing so the second sitting is cheaper:

- Value at Risk and Expected Shortfall (CFA L2 *Measuring and Managing Market Risk* ↔ FRM Part I VRM and Part II Market Risk)
- Derivatives pricing: forwards, futures, swaps, binomial models, Black–Scholes–Merton
- Fixed-income valuation, duration and convexity
- Credit analysis, structural and reduced-form models, credit default swaps (CFA L2 Fixed Income ↔ FRM Part II Credit Risk)
- Multifactor models and CAPM
- Time-series analysis and machine learning (CFA L2 Quant ↔ FRM Part I Quant)
- Hedge fund strategies and illiquid assets (CFA L2/L3 Alternatives ↔ FRM Part II Investment Management)
- Performance attribution and risk-adjusted measures

The FRM treatment is generally more technical and more regulation-aware; the CFA treatment is generally broader and framed from an investment-decision perspective.

### Sources

CFA Institute — Level I, Level II and Level III exam pages and the published 2026/2027 topic outline PDFs ([cfainstitute.org](https://www.cfainstitute.org)).

GARP — FRM study materials, program and exams pages, and the 2026 FRM Learning Objectives summary ([garp.org](https://www.garp.org)).

FRM sub-topic coverage cross-checked against published summaries of the 2026 official learning objectives.

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